

CAMBRIDGE IGCSE ACCOUNTING 0452

Topic 04 - Accounting procedures

Premium Table Answer Booklet

15
questions

2021-2025
Paper 2

Premium
readable layout

Rebuilt for easier reading with structured tables, clear answer sections and highlighted workings. Use beside the matching topical question bank.

Contents

No.	Subtopic	Source
01	4.2 Accounting for depreciation and disposal of non-current	Feb/Mar 2021 Paper 22 Question 2 - 20 marks
02	4.2 Accounting for depreciation and disposal of non-current	May/June 2021 Paper 21 Question 4 - 6 marks
03	4.2 Accounting for depreciation and disposal of non-current	Oct/Nov 2021 Paper 21 Question 2 - 20 marks
04	4.2 Accounting for depreciation and disposal of non-current	Oct/Nov 2021 Paper 22 Question 5 - 20 marks
05	4.2 Accounting for depreciation and disposal of non-current	Feb/Mar 2022 Paper 22 Question 4 - 6 marks
06	4.2 Accounting for depreciation and disposal of non-current	May/June 2022 Paper 21 Question 2 - 20 marks
07	4.2 Accounting for depreciation and disposal of non-current	May/June 2022 Paper 22 Question 4 - 20 marks
08	4.2 Accounting for depreciation and disposal of non-current	Oct/Nov 2022 Paper 21 Question 1 - 20 marks
09	4.2 Accounting for depreciation and disposal of non-current	Oct/Nov 2022 Paper 22 Question 1 - 20 marks
10	4.2 Accounting for depreciation and disposal of non-current	May/June 2023 Paper 21 Question 2 - 20 marks
11	4.2 Accounting for depreciation and disposal of non-current	May/June 2024 Paper 21 Question 3 - 20 marks
01	4.4 Irrecoverable debts and provision for doubtful debts	May/June 2021 Paper 22 Question 2 - 20 marks
02	4.4 Irrecoverable debts and provision for doubtful debts	Oct/Nov 2022 Paper 21 Question 5 - 20 marks
03	4.4 Irrecoverable debts and provision for doubtful debts	Oct/Nov 2022 Paper 22 Question 4 - 20 marks

No.	Subtopic	Source
04	4.4 Irrecoverable debts and provision for doubtful debts	Oct/Nov 2023 Paper 21 Question 3 - 20 marks

Question 01

20 marks

Feb/Mar 2021 Paper 22 Question 2 - 20 marks

4.2 Accounting for depreciation and disposal of non-current

2(a)

Zamir

Income Statement for the year ended 31 December 2020

	\$		\$
Fee income			151 750
Less Expenses *Rent and rates			
(26 000 - 4 000 + 1 260)	23 260		
Salaries	55 000	}	
Stationery and advertising	6 450	}	
Electricity	8 000	}	
Bank charges	4 100	}	
Irrecoverable debts	1 885		
Loss on disposal of office equipment			
(1 000 - (1 260))			2600F
Depreciation of office equipment			
(60 000 - 1 800 = 58 200 x 15%)	8 730OF		107 685
Profit for the year	44 065OF		

* Rent and rates alternative calculation

rent 4 000 x 4	16 000
rates 6 000 + (2/12 x 7 560)	7 260

2(b)

Zamir

Statement of Financial Position (assets section) at 31 December 2020

	\$	\$	\$
--	----	----	----

Assets

Non-current Assets	Cost	Accumulated	Net book
depreciation	value		
*Office equipment	58 200	30 690OF	27 510 OF

Current Assets

Trade receivables (15 600 - 1 885)	13 715 }
Other receivables	4 000 }
Total assets	45 225

* workings: cost 60 000 - 1800 = 58 200 Key point: acc dep 22 500 540 21 960 8730 30 690

2(c)

High level of drawings High level of trade receivables/trade receivables slow to settle debts Expenses not controlled efficiently To meet short-term debts when they fall due To improve cash flow/liquidity

Benefit: able take advantage opportunities they arise To purchase additional non-current assets/expand the business

2(d)

Salary increase - advantages Key point: Sharif entitled his salary share profit Zamir would not need to consult Sharif before making decisions Disagreements about decisions etc. would not arise Sharif's motivation and commitment may improve

Key point: changes required legal structure Partnership offer - advantages Sharif may be required to introduce capital The risks/losses and responsibilities would be shared The decision-making would be shared

Key point: Sharif salary employee need paid Sharif may be more committed

Recommendation

END OF ANSWER

Question 02

6 marks

May/June 2021 Paper 21 Question 4 - 6 marks

4.2 Accounting for depreciation and disposal of non-current

4(a)

Neith

Corrected Trial balance at 31 March 2021

	\$	\$
Fixtures and equipment at cost		300 000
Provision for depreciation of fixtures and equipment		120 000
Inventory		8 800
Trade receivables		16 100
Provision for doubtful debts		322
Petty cash		100
Bank overdraft		11 400
Trade payables		3 200
Capital at 1 April 2020		160 000
Sales		107 498
Purchases		41 520
Rent and rates		16 000
Office expenses		9 000
General expenses		8 150
Other receivables		2 750
_____		_____
	402 420	402 420both

4(b)

Neith Journal

Error number	Details	Debit	Credit
	\$	\$	
1	General expenses	32	
Office expenses	32		
2	Sales	75	
Anya	75		
3	Purchases	120	
Samir	120		
4	Bank	72	
Office expenses	72		
5	Office expenses/cleaning expenses	235	
Fixtures and equipment	235		

4(c)

Error number	Increases capital	Decreases capital	No effect on capital
--------------	-------------------	-------------------	----------------------

- 1
- 2
- 3
- 4
- 5

END OF ANSWER

Question 03

20 marks

Oct/Nov 2021 Paper 21 Question 2 - 20 marks

4.2 Accounting for depreciation and disposal of non-current

2(a)

Capital	Revenue
expenditure	expenditure

Building new extension to warehouse

Rates on new extension

Carriage costs for roof tiles for new extension

Legal costs for new extension

Repairs to office roof

2(b)

Rent warehouse	Purchase warehouse	
No initial outlay	OR	Has to raise an additional \$200 000

in order to purchase

Little or no maintenance/repair cost OR	Will be maintenance/repair
---	----------------------------

costs/depreciation

The non-current asset is not owned OR	Will own an additional non-current
---------------------------------------	------------------------------------

asset/gets fixed asset/owns a warehouse

Loan must be repaid

Will have to pay loan interest

Warehouse may not be required if trade decreases in future

Premises may not be available on a long term basis

Rent may increase after 6 months

Can vacate the premises after 6 months (is flexible)

Recommendation

2(c)

Jas

Fixtures account

Date	Details		Date	Details	
2020	2020				
Jan 1	Balance b/d	115 000	Jun 30	Fixtures disposal	20 000
Bank	30 000	31	Balance c/d	125 000	
145 000	145 000				
2021					
Jan 1	Balance b/d	125 000			

Provision for depreciation of fixtures account

Date	Details		Date	Details	
2020	2020				
Jun 30	Fixtures disposal	11 250	Jan 1	Balance b/d	77 625
Dec 31	Balance c/d	96 750	Dec 31	Income statement	
2 250					
—	6 750	30 375			
108 000	108 000				
2021					
Jan 1	Balance b/d OF	96 750			

2(d)

Jas

Fixtures disposal account

Date	Details	£	Date	Details	£
2020	2020				
Jun 30	Fixtures	20 000	Jun 30	Prov. for Dep.OF	11 250
Bank	6 000				
Dec 31	Income				
_____	statementOF	2 750			

END OF ANSWER

Question 04

20 marks

Oct/Nov 2021 Paper 22 Question 5 - 20 marks

4.2 Accounting for depreciation and disposal of non-current

5(a)

Simon 15

Delivery vehicles account

Date	Details	\$	Date	Details	\$
2019	2020				
Jan 1	Balance b/d	55 000	Mar 31	Disposal	25 000
Dec 31	Balance c/d	30 000			
2021					
Jan 1	Balance b/d	30 000			

Provision for depreciation of delivery vehicles account

Date	Details	\$	Date	Details	\$
2019	2019				
Dec 31	Balance c/d	22 000	Jan 1	Balance b/d	11 000
Dec 31	Income statement				
6000					
5000	11 000				
2020	2020				
Mar 31	Disposal		Jan 1	Balance b/dOF	22 000
(5000 + 5000)	Dec 31			Income statement	
+1250	11 250	6000			
Dec 31	Balance c/d	18 000	1250		7 250
2021					
Jan 1	Balance b/dOF	18 000			

5(a)**Delivery vehicles disposal account**

Date	Details		Date	Details	
2020	2020				
Mar 31	Delivery vehicles	25 000	Mar 31	Prov for Dep.OF	11 250
Bank		10 350			
Dec 31	Income				
statement OF		3 400			

Dates

5(b)

Reducing balance Straight line

Has to be recalculated each year	Easier to calculate / only one calculation needed
Suitable when lose more value in early years	Suitable when lose equal value each year
Shows a more realistic book value	Suitable when annual usage is the same
Matches cost more closely with revenue	Should not change method without good reason /
Unable to compare with previous accounts	apply consistency

Recommendation

END OF ANSWER

Question 05

6 marks

Feb/Mar 2022 Paper 22 Question 4 - 6 marks

4.2 Accounting for depreciation and disposal of non-current

4(a)

Demis Corrected Trial Balance at 31 December 2021

Debit	Credit
	\$
Sales	90 052
Purchases	52 420
Rates and insurance	11 500
General expenses	1 092
Property	92 500
Fixtures at cost	34 000
Provision for depreciation of fixtures	21 760
Trade receivables	7 410
Trade payables	4 665
Inventory	8 000CF

OF

Cash at bank	8 095
Capital at 1 January 2021	109 940
Drawings	11 320
Petty cash	80
226 417	226 417

matching CF totals

4(b)

\$

Cash book balance	8 095	OF
-------------------	-------	----

Add unpresented cheques	437	
Bank statement balance	8 532 OF Credit	

4(c)

Error	Entries required to correct the error				
Debit	Credit				
Account	\$	Account	\$		
1	Drawings of goods for own use, \$317, had been	Drawings	317	Purchases	317

omitted from the books of

account.

2	Purchases returns, \$93, had been credited to the	Sales	93	Purchases	93
	returns				

sales account.

3	A payment for property insurance, \$500, had been	Rates and insurance	500	Property	500

debited to the property

account.

4	A credit purchase, \$315,	Purchases	180	Erin	180
---	---------------------------	-----------	-----	------	-----

from Erin had been recorded as \$135.

5	A credit sale, \$191, to	Harvinder	382	Sales	382
---	--------------------------	-----------	-----	-------	-----

Harvinder, had been debited to the sales

account and credited to

Harvinder's account.

4(d)(i)

Error of commission

4(d)(ii)

Error of original entry

END OF ANSWER

Question 06

20 marks

May/June 2022 Paper 21 Question 2 - 20 marks

4.2 Accounting for depreciation and disposal of non-current

2(a)

Fatima 11

Income Statement for the year ended 31 March 2022

	\$	\$	\$
Revenue		79 400	
Less Returns		3 970	
Less Cost of sales			
Opening inventory		3 000	
Purchases		36 500	
Less goods for own use		1 300	35 200
Less Closing inventory		3 120	35 080OF
Gross profit		40 350OF	
Add Discount received		1 095	
Less Expenses			
Rent and rates (9000 - [2/3	1500])		8 000
Wages (10 100 + 800)		10 900	
General expenses		1 287	
Insurance		1 800	
Irrecoverable debts		200	
Provision for doubtful debts ([6400 - 200]	3% = 186 - 156)		30
Depreciation of fixtures and equipment			
([80 000 - 39 040]	20%)	8 192	30 409
Profit for the year	11 036 OF		

2(b)

Fatima

Capital account

Date	Details		Date	Details	
2022	2021				
March 31 Drawings (8580 + 1300)	9 880	April 1 Balance b/d	59 000		
Balance c/d	60 156 2022				
____ March 31 Profit for the yearOF	11 036				
April 1 Balance b/dOF	60 156				

2(c)

In favour of accepting bank loan: Key point: Liability bank ends after 4 years repay until time Key point: interest need paid four years Benefit: Repayment interest loan due improves relationship bank Key point: ways raising finance require commitment longer period time Key point: best way sole trader limited access funds obtain extra finance
Against accepting bank loan:

Key point: Bank loan repaid set date future Bank may require security/personal assets may be at risk

Key point: find difficult repay loan 4 years time Key point: Loan interest must paid even short liquid funds There may be more appropriate ways of raising the finance
for recommendation

END OF ANSWER

Question 07

20 marks

May/June 2022 Paper 22 Question 4 - 20 marks

4.2 Accounting for depreciation and disposal of non-current

4(a)(i)

Cost	NRV	Valuation			
packs of paper	4.50	8.00	4.50	240 = 1080	
packs of envelopes	5.50 + 1.00 = 6.50	10.00 - 1.50 = 8.50	6.50	225 = 1462.50	
notepads	4.00 + 2.00 = 6.00	5.00	5.00	150 = 750	
boxes of pencils	3.50	6.00	3.50	96 = 336	
Total	3628.50 or OF				

4(a)(ii)

Prudence

4(b)(i)

Capital	Revenue
expenditure	expenditure
Computer printer paper	}
Computer equipment	}

Installation of computer equipment

Motor vehicle	}
Insurance of motor vehicle	}

Delivery of motor vehicle

4(b)(ii)

Recording low value non-current assets can be costly and time consuming Risk: cost greater benefit gained treating non current asset Key point: Items significantly affecting profit non current assets need recorded asset Key point: What material small larger

4(c)

overstated

understated

Effect on capital

Effect on liabilities

4(d)

Advantages of the straight line method Easier to calculate than the reducing balance method

Key point: straight line method representative annual loss value Non-current assets may be shown at a more realistic value The annual depreciation charge would be reduced Higher profits may encourage investors / lenders

Disadvantages Method of charging depreciation should be applied consistently

Key point: Increasing profit sufficient reason change method Profit may be overstated in the year of change

Key point: book value non current assets accurate overstated Comparison with previous years not meaningful

Recommendation

Risk: Need least one advantage disadvantage order get recommendation

Note:

marks for either option

END OF ANSWER

Question 08

20 marks

Oct/Nov 2022 Paper 21 Question 1 - 20 marks

4.2 Accounting for depreciation and disposal of non-current

1(a)

Anika

Income Statement for the year ended 31 August 2022

			\$	\$
Rent receivable (162 000 - 8 100)				153 900
Less Expenses				
General expenses (26 500 - 1 300)	25 200			
Rates (38 200 + 3 400)	41 600			
Insurance (12 400 - 360)	12 040			
Repairs (32 000 - 9 000)	23 000			
Depreciation - Premises (418 000 / 50)	8 360			
Fittings (28 000	20%)	5 600		115 800
Profit for the year	38 100 OF			

1(b)

Anika

Capital account

Date	Details	\$	Date	Details	\$
2022	2021				
Aug 31	Drawings	18 500	Sep 1	Balance b/d	400 000
Balance c/d	419 600	2022			
Aug 31	Profit for year	38 100 OF			
438 100	438 100				

Date	Details		Date	Details	
2022					
Sep 1	Balance b/d	419 600 OF			

1(c)

Using own capital Key point: Consistent profit year greater 3% interest savings More capital will be at risk Need to consider if additional capital provides a similar/greater return

Key point: demand additional property area return her investment fall Would still be entitled to the whole profit Would maintain control/no need to consult on decision-making

Forming a partnership with Janos Janos' skills may be useful in the business Janos would introduce additional capital Profit would be shared with Janos Risks would be shared with Janos Responsibilities would be shared with Janos Disagreements may arise

Risk: Personal savings maintained additional funds risk Recommendation

1(d)

Capital expenditure is money spent on non-current assets: revenue expenditure is money spent on day-to day expenses Key point: Capital expenditure lasts 12 months revenue used up Importance of correct classification

Including capital expenditure in income statement	Profit for year understated
Including revenue expenditure in statement of financial position	Profit for year overstated
Including capital expenditure in income statement	Non-current assets understated
Including revenue expenditure in statement of financial position	Non-current assets overstated

END OF ANSWER

Question 09

20 marks

Oct/Nov 2022 Paper 22 Question 1 - 20 marks

4.2 Accounting for depreciation and disposal of non-current

1(a)

BC 12

Income Statement for the year ended 31 August 2022

	\$	\$
Revenue		231 500
Sales returns		3 600
	227 900	

Cost of sales

Opening inventory	11 100	
Purchases	120 000	
Carriage inwards	400	
	131 500	
Closing inventory	12 000	119 500 OF
Gross profit	108 400 OF	
Commission receivable (2 200 + 800)	3 000	
Discount received	1 400 **	
	112 800	
Discount allowed	600 ** both	
Insurance (9 600 - 700)	8 900	
Repairs (12 400 - 4 000)	8 400	
Salaries (53 900 + 4 900)	58 800	
Rates (6 000 - 300)	5 700	
Depreciation machinery (27 600 x 20%)	5 520	87 920
Profit for the year	24 880 OF	

1(b)

\$ \$ Current assets

Inventory	12 000
Trade receivables	19 200
Commission received	800
Rates prepaid	300

Current liabilities

Trade payables	7 300
Salaries owing	4 900
Bank	4 100
Working capital	16 000 OF

1(c)

Option 1 Credit Only payback the original amount of \$6000/no interest Credit may not be granted as already has an overdraft Working capital/funds may be adequate provided trade receivables pay on time Consider whether adequate funds will be available in 60 days Working capital will be reduced

Option 2 Loan Interest each year will have to be paid Interest will lower profit each year Consider whether funds will be available to repay the loan Loan may not be granted as already has an overdraft

Recommendation

END OF ANSWER

Question 10

20 marks

May/June 2023 Paper 21 Question 2 - 20 marks

4.2 Accounting for depreciation and disposal of non-current

2(a)(i)

Stalla

Provision for doubtful debts account

Date	Details		Date	Details	
2022	2022				
Dec 31 Balance c/d	3 080	Jan 1 Balance b/d	3 000		
2022					
Dec 31 Income statement OF	80				
3 080	3 080				
2023					
Jan 1 Balance b/d	3 080				

2(a)(ii)

Not all trade receivables will pay the amount they owe/ to anticipate irrecoverable debts Key point: apply principle prudence ensure profit overstated trade receivables Key point: apply principle matching ensure sales payment likely received regarded Key point: expense year sales made

2(b)

\$ \$

Proceeds	9 500	
Cost	16 000	
Less provision for depreciation	7 000	9 000
Profit on disposal	5000F	

2(c)(i)

Stalla

Motor Vehicles account

Date	Details		Date	Details	
2022	2022				
Jan 1 Balance b/d	48 000	Dec 31 Disposal	16 000		
Balance c/d	32 000				
2023					
Jan 1 Balance b/d	32 000				

2(c)(ii)

Stalla

Provision for depreciation of Motor Vehicles account

Date	Details		Date	Details	
2022	2022				
Dec 31 Disposal OF	7 000	Jan 1 Balance b/d	21 000		
Balance c/d	18 500	Dec 31 Income statement			
CFOF	4 500				
2023					
Jan 1 Balance b/d OF	18 500				

2(d)

Capital	Revenue
expenditure	expenditure

Legal fees for obtaining permission to build the extension

Building costs for the extension

Insurance for the office

Painting the office extension

Office calendar for 2023

Purchase of office equipment
Installation of office equipment
Stationery for office

END OF ANSWER

Question 11

20 marks

May/June 2024 Paper 21 Question 3 - 20 marks

4.2 Accounting for depreciation and disposal of non-current

3(a)

Q Limited

Income statement for the year ended 31 January 2024

		\$	\$
Revenue			78 000
Less: Cost of sales			
Opening inventory	2 950		
Purchases	38 200		
Less Closing inventory	4 720	36 430	
Gross profit	41 570		
Less Rent and insurance	10 600 }		
Directors' salaries	19 000 }		
General expenses	3 420 }		
Advertising (5 400 + 75)	5 475		
Depreciation of fittings (10%)	18 000)	1 800	40 295
Profit for the year	1 275		

3(b)

Retained earnings: \$

Opening balance		2 297
Profit for the year		1 275
	3 572	
Less Dividend paid		(2 500)
Closing balance		1 072

3(c)

Q Limited

Statement of financial position at 31 January 2024

	\$	\$	\$	
Accumulated	Net book			
Non-current assets	Cost			
depreciation	value			
Fittings		18 000	7 200OF	10 800OF

Current assets

Inventory		4 720	
Bank		915	5 635

Equity and Liabilities

Ordinary share capital		13 000
Retained earnings		1 072OF

Current liabilities

Trade payables		2 288
Other payables		75
		2 363OF

3(d)

For May increase sales/result in more customers May help reduce the level of inventory May benefit future years

Risk: Increase gross profit extra cost advertising raise profit year Against

Risk: able afford increase advertising costs Risk: need borrow money increased advertising costs borrowing incur interest There is no guarantee that sales would increase

Risk: Profit reduce result loss expenses increase extra advertising Recommendation

END OF ANSWER

Question 01

20 marks

May/June 2021 Paper 22 Question 2 - 20 marks

4.4 Irrecoverable debts and provision for doubtful debts

2(a)

Tej

Rent payable account

Date	Details		Date	Details	
2020	2021				
Mar 1 Balance b/d	300 Feb 28 Income Statement	3 900			
Jun 30 Bank	1950	Balance c/d	450		
Nov 30 Bank	2100				
4350	4 350				
2021					
Mar 1 Balance b/dOF	450				

+ dates

2(b)

Tej

Provision for doubtful debts account

Date	Details		Date	Details	
2021	2020				
Feb 28 Balance c/d (7 000 x 6%)	420 Mar 1	Balance b/d (6 250 x 4%)	250		
2021					
Feb 28	Income statementOF	170			
420	420				
Mar 1	Balance b/dOF	420			

2(c)

Matching

2(d)(i)

Revenue is regarded as being earned when title to the goods is passed Key point: profit sales recognised until earned Profit is recognised when earned not when payment is received Profit is earned when the sale is completed/legal title passes No profit is recognised when goods are ordered .

2(d)(ii)

To ensure that profits/trade receivables are not overstated

Key point: ensure trade receivables shown realistic statement financial position Risk: Profits assets reduced

provision doubtful debts increased the provision is reduced

2(e)

Advantages Will encourage customers to pay earlier May increase liquidity/cash flow May reduce administration time/costs Or other relevant advantages

Disadvantages Good relationships with customers will be damaged could lose customers or revenue may reduce May incur extra costs to attract customers/advertising/marketing Or other relevant disadvantages

Recommendation

END OF ANSWER

Question 02

20 marks

Oct/Nov 2022 Paper 21 Question 5 - 20 marks

4.4 Irrecoverable debts and provision for doubtful debts

5(a)

NT General Journal

Date	Details	Debit	Credit
	\$	\$	
May 5	Irrecoverable debts	600	
LW	600		

Account written off as irrecoverable

5(b)

NT

Key point: Extract income statement year ended 31 August 2021

\$

Irrecoverable debts (600 + 4100)	4 700	
Provision for doubtful debts (91 500	5%)	4 575

5(c)

NT

Extract from statement of financial position at 31 August 2021

Current assets**	\$
Trade receivables	91 500
Less Provision for doubtful debts	4 575 OF

5(d)

NT Ledger accounts

PB account

Date	Details	\$	Date	Details	\$
2022	2022				
*	Balance b/d	7 000	July 17	Bank	2 500 }
Irrecoverable debts	4 500 }				
7 000	7 000				

Irrecoverable debts account

Date	Details	\$	Date	Details	\$
2022	2022				
July 17	PB	4 500 OF	Aug 31	Income statement	12 900 OF
Aug 31	Trade receivables/				
debts written off	8 400				

Provision for doubtful debts account

Date	Details	\$	Date	Details	\$
2022	2021				
Aug 31	Balance c/d	5 500	Sep 1	Balance b/d	4 575 OF
2022					
Aug 31	Income statement	925 OF			
5 500	5 500				
Sep 1	Balance b/d	5 500			

* No specific date specified

+ Dates

5(e)

Option 1 - charge interest Customers may go elsewhere/competitors may offer better terms/sales may decrease Customers may not be prepared to pay the interest May damage relationship with customers

Risk: Customers pay time encouraged avoid interest charges Profit/income will be increased because of interest received Increase in administration costs

Option 2 - stop supplies

Key point: Overdue balances never paid written off Risk: Customers go elsewhere competitors offer better terms sales decrease May damage relationship with customers

Recommendation

END OF ANSWER

Question 03

20 marks

Oct/Nov 2022 Paper 22 Question 4 - 20 marks

4.4 Irrecoverable debts and provision for doubtful debts

4(a)

PG 13

Sales account

Date	Details	\$	Date	Details	\$
2022	2022				
Jul 31	Income statement	377 000 OF	Jul 31	Trade receivables	360 000
— —	Cash	17 000			
377 000	377 000				

Sales returns account

Date	Details	\$	Date	Details	\$
2022	2022				
Jul 31	Trade receivables	13 300	Jul 31	Income statement	13 300

Trade receivables account

Date	Details	\$	Date	Details	\$
2021	2022				
Aug 1	Balance b/d	28 500	Jul 31	Sales returns	13 300*
2022	Bank	335 100*			
Jul 31	Sales	360 000	Discount allowed	6 500*	
Bank	4 000	Irrecoverable debts	900*		
— —	Balance c/d	36 700			
392 500	392 500				
Aug 1	Balance b/d	36 700 OF			

Key point: 1 2 correct items 4

4(a)

Irrecoverable debts account

Date	Details	£	Date	Details	£
2022	2022				
Jul 31	Trade receivables	900	Jul 31	Income statement	900
900	900				

Provision for doubtful debts account

Date	Details	£	Date	Details	£
2022	2021				
Jul 31	Balance c/d	1 468	Aug 1	Balance b/d	1 140
2022					
—	Jul 31	Income statement	328		
1 468	1 468				
Aug 1	Balance b/d	1 468 OF			

4(b)

PG

Extract from statement of financial position at 31 July 2022

Current assets**	£
Trade receivables	36 700 OF
less provision for doubtful debts	1 468 OF

**For heading + OF total

4(c)

Obtain (credit) references Set credit limit Sell for cash only / reduce credit sales

Issue invoices / statements of account promptly

Follow up with phone calls / emails etc Improve or introduce credit control / hire a credit controller Charge interest on late payment Refuse further supplies until outstanding balance is paid Increase level of cash discount Last resort take legal action

4(d)

Experience of late / non-payment Specific knowledge of customers credit record / credit rating

Key point: Length time debts outstanding ageing schedule trade receivables turnover State of the local economy

END OF ANSWER

Question 04

20 marks

Oct/Nov 2023 Paper 21 Question 3 - 20 marks

4.4 Irrecoverable debts and provision for doubtful debts

3(a)

Logan

Inventory account

Date	Details		Date	Details	
2022	2023				
Oct 1	Balance b/d	8 400	Sep 30	Income statement	8 400
8 400	8 400				
2023					
Sep 30	Income statement	8 675			

3(b)

Logan

Provision for doubtful debts account

Date	Details		Date	Details			
2023	2022						
Sep 30	Balance	c/d	335	Oct 1	Balance	b/d	300
2023							
—	Sep 30	Income statement	OF	35			
335	335						
2023							
Oct 1	Balance	b/d	OF	335			

3(c)

Logan

Rent payable account

Date	Details		Date	Details		
2022	2023					
Oct 1	Balance	b/d	820	Sep 30	Income statement	4 940
Dec 1	Bank	2 460	Balance c/d	830		
2023						
Jun 1	Bank	2 490	—			
5 770	5 770					
Oct 1	Balance	b/dOF	830			

+ Dates

3(d)(i)

Inventory is valued at the lower of cost and net realisable value

3(d)(ii)

The rent relating to the current year is transferred to the income statement

Key point: total rent paid adjusted prepayments before transfer income statement

3(e)

Advantages of buying premises using loan Would not have to pay rent Will not be subject to future rent increases May be cheaper in the long run

Key point: Property owned adapt requirements rent out etc Have several years to repay the loan No further obligation after loan repaid Over a period of time property may increase in value

Disadvantages of buying premises using loan Have to pay interest on loan Loan must be repaid when due

Risk: Loan probably secured property assets risk repaid Will be responsible for maintenance of property Percentage of interest on loan may increase

Recommendation

END OF ANSWER